ARM CEMENT LTD
(formerly Athi River Mining Ltd)
KENYA, TANZANIA, SOUTH AFRICA, RWANDA
P. O. Box 41908 - 00100 Nairobi Kenya
Rhino House, Chiromo Road, Westlands

RECEIVED
17 JUL 2014
NAIROBI SECURITIES EXCHANGE LTD.

July 17, 2014

The Chief Executive ,

Nairobi Securities Exchange Ltd,

P.O Box 43633-00100,

NAIROBI

Dear Sir,

RE:UNAUDITED RESULTS FOR THE SIX MONTHS ENDED JUNE 30, 2014

We are pleased to enclose herewith unaudited results for the six months ended 30th June 2014.

Yours Sincerely,

PRADEEP H. PAUNRANA

MANAGING DIRECTOR

Cc The Chief Executive,

Capital Markets Authority,

P.O.Box 78400-00200

NAIROBI

RHINO CEMENT
Building Africa

Subsidiary Companies
- ARM (Tanzania) Ltd
- Rhino Cement Tanzania Ltd
- ARMSA (Pty) Ltd, RSA

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+254-20-2667675/6
Fax: +254-20-2667677
E-mail: info@armafrica.com
Website: www.armafrica.com

Rick Ashley (Chairman), Pradeep H Paunrana (Managing Director), S L Bhatia (Deputy Managing Director), Atul Mathur,
Wilfred Murungi, Daniel Ndonye, Michael Turner, Stella Kilonzo, Andrew Alli

RESULTS

The Board of Directors is pleased to announce the unaudited results for the Group for the six months ended June 30, 2014.Group revenue for the first six months increased by16% to KES 7.6 Billion over the corresponding period last year. Cement sales increased in Kenya by 10% and in Tanzania by 38% as the Rhino Cement brand continued to increase distribution throughout the country. In Kenya, our Mavuno Fertilizer business recorded significant growth following the recommendation for the use of Mavuno in the Soil Suitability Evaluation Report by the Ministry of Agriculture. Other divisions of the Group recorded steady performance.

Although the cost of energy and other inputs increased in the first half of the year, EBITDA margin remained steady at 24% due to improvements in plant operations.Group Profit Before Tax increased to KES 1.2 billion, an increase of 20% over the first half of 2013.Net Profit increased by 20% from KES 703 Million to KES 847 Million.Cash generated before working capital changes grew from KES 1.6 Billion to KES 1.8 Billion during the first six months of this year.

Investment towards completion of the Tanga plant continued in the first half of the year, totaling to KES 2.7 billion. The total investment in the combined 1.8 million tons per year Tanga clinker plant and Dar Es Salaam cement plant to date is KES 15 Billion.

OUTLOOK

The Group has recorded significant growth in both turnover and profit during the first half of this year. This is expected to grow further during the second half of the year with improved EBITDA margins upon commencement of clinker production at the Tanga plant. The East African regional economies are growing briskly, and demand for cement as well as the other products are expected to grow further. Looking ahead at 2015 and beyond, the increased cement capacity, with our own clinker production, will significantly increase Group revenues, EBITDA and cash generation.

DIVIDEND

In accordance with past practice, the Board of Directors does not recommend an interim dividend for the year.

By Order of the Board

R. R. Vora
Company Secretary

17th July 2014

ARM CEMENT LTD

(formerly Athi River Mining)

Kenya • Tanzania • South Africa • Rwanda

UNAUDITED GROUP RESULTS
FOR THE SIX MONTHS ENDED JUNE 30, 2014

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED	30.06.2014 Ksh.'000	30.06.2013 Ksh.'000	% INCREASE /DECREASE
Revenue	**7,566,879**	**6,499,126**	**16%**
Profit Before Tax	**1,222,261**	**1,015,317**	**20%**
Taxation	(375,038)	(312,493)	
Profit After Tax	**847,223**	**702,824**	**21%**
Non-controlling interests		132	
Total comprehensive income for the six months	**847,223**	**702,692**	**21%**
Earnings Per Share (Ksh.)	3.4	2.8	**21%**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT		30.6.2014 Ksh.'000	31.12.2013 Ksh.'000
Assets			
Non Current Assets		25,536,250	22,856,692
Current Assets		6,333,001	6,848,562
Total Assets		**31,869,251**	**29,705,254**
Equity & Liabilities			
Share Capital		495,275	495,275
Share Premium		302,027	302,027
Capital and Other Reserves		8,205,420	7,326,738
Equity attributable to equity holders of parent Company		9,002,722	8,124,040
Non - Controlling interest		12,623	99,692
		9,015,345	8,223,732
Non Current Liabilities		16,093,660	14,234,938
Current Liabilities		6,760,246	7,246,584
Total Equity & liabilities		**31,869,251**	**29,705,254**

CONDENSED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED		30.6.2014 Ksh.'000	30.6.2013 Ksh.'000
Cash Generated before working capital changes		1,776,195	1,573,994
Working capital changes		(276,122)	432,716
Cash Generated from operations		1,500,073	2,006,710
Net Interest		(220,969)	(183,594)
Tax Paid		(616,289)	(176,232)
Net Cash from Operating Activities		**662,815**	**1,646,884**
Net Cash used in Investing Activities		(3,038,846)	(2,019,467)
Net Cash from Financing Activities		1,642,605	253,156
Increase/(Decrease) in Cash and Cash Equivalents		**(733,426)**	**(119,427)**
At start of the Period		2,406,408	2,591,274
Exchange Adjustment		(16,987)	(65,439)
At end of the Period		**1,655,995**	**2,406,408**